The General Theory

Chapter 1

Ben
Jan 1, 2000 · 0 ♡ · 0 ☰ · 0 ↗

*"The "debunking" frame of interpretation becomes a colossal enterprise in "transcendence downwards" that is good for polemical, demagoguic purposes, but would make that man a fool who did anything but spin his collaborators, watching for the opponents where he himself may "roll out" and "sink in"... Accordingly, if you will consider such a term being used as a "debunking" interpretation, it means that the speaker is a fool and the intended's way of "cashing in on" our confidence, you will grasp the distinction we need make between a wholly "debunking" polemical, *backscatter scheme of motives and the motives of cosmic ambitudes*." - Aristotle Toward History*

"Dialog Infinite think the ideological function of transcendence is to promote a certain view of the economy when in fact it is to get people who might otherwise engage in critical study of the economy something else to occupy their minds instead. A corollary of this is that critique of mainstream economics (ME) the ideological function more or less as well as mainstream economics (ME)." - Wilson, Twitter

"No system is destroyed by logic." - Mikko Lahmann

Chapter 1 of the General Theory is one long catty critique of the assumptions made in marginalist economic models. So, we are going to do two things, one, we are going to show I know, and you don't know. The former is to talk about the rhetoric, the practice, and method of critique. The latter is to lay out someone else's position to an audience that is not already intimately familiar with it, describing that position, so that people who believe this stuff actually believe, even if implicitly, and then debunking that position (Lucas's work actually have to be doing any of this except for his writing it, but still. I would also say that if you have spent sufficient time in the online Economics world - especially the heterodox one, my hometown for the bulk of these posts will be having and did for me, I don't think that I cover them in any especially novel or compelling way here. The second half of today's newsletter is meant to help people understand what Keynes is fighting against. If you're already an MWFer or Marxist or Intra Kantu Ist or something like that, the latter half is not for you. The first half, on the other hand, should be fun for everyone.

Discounting and Debunking

At the top of the page we have three quotes, one from a rhetorician, one from an economist, and one from a cosmic theorist. They are all, ultimately, saying the same thing, something that I think of as a core aphorism were I to write my own Analects the way Burke does in *Aristotle Toward History*.

"It is always better to discount than to debunk." - The Yale Accountant

When debunking, you are making an argument that something is impossible. You're preventing something to be understood or "the" final and concrete case about the wrongness of some other belief. A successful debunking doesn't require that you put forward a different model or interpretation, but it does imply that if you were to, the debunked would be wrong. Discounting is a weaker form of the same thing as debunking. The underlying approach also implies that no model is better than a wrong model, which may be true despite being cognitively impossible. As a strategy, debunking locks one into a specifically negative relationship with a standard and an endless series of beaters, boring arguments. We see this on twitter a lot.

Discounting, on the other hand, imposes no such burden. When discounting, you take the model - or information, or stance, or interpretation, whatever - as it exists, and assign it a weight when considering it. If you want, you can think of this as a percent chance that the model is true, or a probability that it is true, or a percent chance or chance that it's desired in one direction rather than another, and you can chance that you encountered it for a specific reason, and a percent chance that someone is profiting off this reason, and so on and so forth. You lose the model, who is making it, what the occasion would be, what models in that environment are generally like, whether the model can reduce the occasions it predicts simply by being wrong (believed by a Donald MacKenzie or George Soros), and keep anything you find that could be useful in determining how highly to weight the information that's produced by discussions. You can even weight your own weightings against others' weightings!

You don't have to pick an alternative model when arguing for a certain weight, and you can claim a bunch of different models together, whether in series, in parallel, or analogically. In this mode, you can subtly expect that everyone knows that you are the same when they encounter the models you posit and assume that they will be discounted sufficiently, and in various directions, by various audiences. Keynes once got in trouble for assuming that, but we don't have a public profile anything like his.

It's not an all or nothing game. In fact, your probability weights don't even have to sum to 1. Because you're not attempting to describe the entire probability space of outcomes, or of possible models, you are allowed to just think that there's a 40% chance that something is right, or a 70% chance that someone is a Marxist, or Keynes's from their doctoral conclusions rather than forward from their available evidence. What else will the 30% is in either of those expectation sets doesn't even have to be specified. We're operating under uncertainty here, why would we pretend uncertainty has a bounded set of outcomes with a well-defined probability distribution that relates them?

Keynes himself makes this argument in the *Treatise on Probability*. We are able to act under uncertainty - uncertainty about future states and events, but also the meta-uncertainty of model confirmation - because we adopt interim heuristics and ad hoc standards rather than perpetuate action until a time of impossibly clear-cut certainty. We chain these together in complex and idiosyncratic ways, and we see how gaseous. Were we to wait for perfect certainty, either we would never act in ways I'm sure some my readers have experienced or we would spend our lives convincing ourselves of our own certainty than interpreting our models (something also I know my readers have been through). If students make consistently wrong calls, someone who is paying attention to their successes will progressively be straight there. This is no sense rising to Finally Defeat a position where you can simply ignore it, or pretend it's not as possible. Financial markets and the production of knowledge are, ideally, similar in this way.

The old saw that it "takes a model to beat a model" is true, but not in the way mainstream, or even most heterodox, economists think. Models don't work in a way in that it "takes a model to displace a model." As such, our goal in outlining the below is to ensure that my believed readers don't think that they're getting anything "special" or "esoteric" out of Keynes' "debunking" of marginalist economics in Chapter 2. The fact that Keynes's interpretation of the Classical Economists is "wrong" doesn't mean it is useful for, or the place it has in the world, because the vast majority of people who cheerily rather than truth or falsity. Our goal is to use Keynes' debunking here to simply weight the viewpoints of people who use the framework he is laying out zero, not to make a big deal out of them being wrong. We need to lock ourselves into an ironclad epistemological frame - we're not all of us Marxes and *Mr. Bails*.

How and better economic models come into being by correctly discounting existing ones, and then filling spaces these models don't cover. Doing this will require correctly discounting the widest possible field of information, accepting pluralistic standards of evidence, and constantly seeking new models and new perspectives. It's hard to describe how a firm works without thinking of what people are reading in the management literature, but it's just as hard to take the management literature at face value. Finance is much the same. Psychology may have trouble with replication, but discounted at the proper rate, it can play a crucial role in understanding consumer decisionmaking. At the same time, understanding the tenets of mainstream and neoclassical economics and discounting them correctly can be helpful in understanding the economy, even if only because so many policymakers appear so uncritically subjective to them when making decisions.

The Postulates of the Classical Economists

So now that we have talked about what critique does, we can talk about the content of Keynes's critique in this chapter. This is one of the tougher chapters; Keynes assumes that the reader is already familiar with the authors he discusses, and compresses his argument accordingly. To break it, we're going to read the chapter through the lens of the final section, where he puts forward three interlocking assumptions that characterize what he calls "the classical school." We will see that these assumptions, its implications, and Keynes' critique as a way to guide us through this chapter.

It's also worth noting that "the classical school" is something of an unfair title, as it sells together "Marginalists" and "Surplus Approach" economists. As such, we will simply use "marginalists" which is a phrase which Keynes uses as "marginalists" which is a whole other problem I don't want to go into here. Worth reading John Henry and Krishna Bharadwaj on this point. Or, hah, the MWG textbook.

Assumption 1: That the real wage is equal to the marginal dis-utility of the existing employment

Here, in sections I, II, and III, Keynes is talking about the labor supply side of the marginalist account of distribution. Ultimately, the marginalists claim that workers and capital goods are paid, as factors of production, based on their contribution to output. Workers in turn bargain to an acceptable wage level based on what they work faith to do (by marginal productivity). The bargain ensures that no one is paid "more than their worth" and that all workers can find jobs.

On the labor demand side, firms choose between employing an amount of capital (I'm sure we'll do some extended stuff on the Cambridge Capital Controversies, and Lazonick, but not now) and an amount of labor, and pay each based on how useful each one is. You do some sort of scientific process, never specified or observed, then you pay out how many units of output would be added by hiring one new Worker or one new Capital. In order to maximize output per unit cost, the firm hires workers all the way up to the point that the value of output produced by one more worker would be worth less than the cost of that worker's wage.

On the labor supply side, the value of the real wage must be the same as how much it sucks to work the marginal disutility of labor, in aggregate, for each person below disutility and those workers wouldn't work, are real wages above and firms won't hire everyone who wants to work. The real wage is bargained off the top down to the point that labor does not attain any unwanted "profit" by working a job that is less shitty than to real wages, and as such, the real wage at that point is low enough to clear the labor market. At this real wage, the market for labor clears: everyone who wants a job at that wage can find one, and a job produces the same amount of utility per real wage is and the total value of real wages is the same in utility terms as the total value of no-work in utility terms. This is a happy little world where Say's Law holds and there's no involuntary unemployment.

However, the use of "real wage" creates some conceptual problems: "Wage" is a clear concept how much one is paid, per hour, in dollar terms. "Real wage" is a much less clear concept: how much one is paid, per hour, in dollar terms, adjusted for the price level of the sorts of things one would buy with a wage (what Keynes calls "wage-goods" throughout - this is a phrase I've been invoked a lot recently, and I'm sure I'll use it there being Dacyzk, and so that price level doesn't matter for your calculations).

So, immediately, in order to make sure that the real wage is equal to the marginal disutility of labor, we need to have wages and the prices of wage-goods in hand. This becomes a problem, because prices are set by capitalists, and are not determined based on market governance and "competition" too are not going to shed light on what "competition" here, just going to have it in scare quotes. As such, every time a price rise - if labor supply is based on real wages - the number of workers willing to work for a given wage-level falls, and firms will have to hire less workers to produce the same output. This forces we don't see a result from the labor force based on inflation workers, it is safe to say that this is false. If the price of milk goes up by fifty cents a gallon, I don't think any of us will be quitting our jobs, regardless of how much it sucks.

Keynes also points out some empirical problems with the marginalist account. Labor strife in Keynes' time I don't dig! What a world's whatever there is a chuse of reduction in real wages, and yet, there is no increase in unemployment. Empirically speaking, this is nonsense. Do real wage rise jump down or before the marginal disutility of labor without changing anything about labor supply. However from the perspective of the worker, the metric of this approach are obvious. Prices and inflation are subtly buried their control, but the ability to fight a foreseen level of the labor supply is absolutely not. Workers bargain over the nominal wage, and let prices and the level of employment fall where they may.

Marginalists get upset at this, and encourage them to labor otherwise. Since capital goods are paid based on their marginal productivity, if workers bargain for higher demand higher wages comes at no zero-peril, as it "necessarily" means raising total employment. As such, they recommend that labor take a voluntary pay cut, in order to lower the cost of total employment for capitalists. There was no shortage of people demanding this during the Great Depression, and I imagine if you called up Cato or Mercatus, they could probably get someone on the line to make the argument to you this afternoon. They would tell you that prices would fall with wages indicies, naturally, to some delay through the workings of the Capital Factor and real wages and employment would rise. What this does to debt doesn't matter to them.

Keynes points out that labor is too clever to be convinced of this. They know that they have no control over the price level, and no guarantees that Capital will follow through on its side of the bargain if they accept a wage cut. As such, all - literally - labor and wage battles are confrontations with Capital that decide relative wages by sector. If nothing labor can do impacts prices, the best they can do is use its power for the people in their industry in nominal wage terms. It does not take RAND Corp or Eric Garland brain to see that no sector will be able to relative pay cut on the assumption that all other sectors will follow. Anything on the "aristocracy of labor" makes a neat citation for this.

As such, the story about real wages being equal to the marginal disutility of labor is gibberish conceptually and wrong empirically.

We're going to avoid the landmine of talking about the 1970s here. If you were the kind of person who believed that the stagflationary period was caused by excessive labor power, rather than supply side shocks, you could point out that Keynes' argument about sectoral bargaining argument could mean that labor's attainment of contractual power in the 1970s could have been enough to demand the maintenance of full employment through non-Hugh wages. I'm not that kind of person tho, and I hope you aren't either, dear reader.

As a final aside, check out Lucas & Rapping, 1969 for a good, if blunt, laugh. According to one of the Leading Lights of the field - a one and a half hundred likelihood with a Econ Nobel - unemployment develops because too many people would rather go on vacation.

Assumption 2: That there is no such thing as involuntary unemployment in the strict sense

Compared to the treatment of the other two assumptions, Assumption 2 gets a very quick gloss in sections IV and V. To be honest, most of those two sections are just him dunking on his predecessors, and he goes in some very good ones. But anyway, most of the rest of the book involves him demonstrating how and why there is involuntary unemployment in the strict sense.

Ultimately, Keynes argues, the marginalists believed that unemployment was driven by too high wages, but the small business owners and sundry moron left blame this. In this world, wages are equal to the contribution of the worker in output and also equal to the marginal disutility of labor, as explained above. If workers don't find work at a job, it was because their contribution to output was less or they expected too high a reward for a job. Wasn't that bad." The market had decided, in its infinite wisdom, that it is not worth hiring them at the going wage. Lots of policy conversations today still assume the world works like this, especially when talk of "the cost of capital" or "capital" are invoked. These folks believe that the cure to unemployment is simple, and has no ill effects over lower wages, so businesses can spend the non-amount of money to hire more people!

Granted, on this worldview it is still possible to have both Excitional and voluntary unemployment. Frictional unemployment is the same in the General Theory as it is now: it takes a year to find a new job if you quit one without having another lined up. The definition of voluntary unemployment is a bit more problematic. Keynes's account of the mechanical definition of voluntary unemployment - workers in the midst of the Great Depression - is hard to read as anything other than pure contempt: "the refusal or inability of a small minority, as a result of legislation or social pressure, to accept the combination for collective bargaining or of close responses to a change of wages." Thankfully, the fact that so much of the rest of the book is dedicated to rebutting this assumption means we can call time for now.

Assumption 3: That supply creates its own demand in the sense that the aggregate demand price is equal to the aggregate supply price for all levels of output and employment

In the chapter, this is section VI. It is also called "Say's Law" in the literature.

The argument seems reasonable at first cut. When firms produce things, they have to pay their workers, intermediate suppliers, owners of land, and payments of capital goods. When the firm sells things, it sells them for more than it cost to produce, and the entrepreneur keeps the difference as profit. The total amount - profits, cost of production, wages - is equal to the price of the good sold, and the total supply of goods is equal to the total demand for goods. Everyone has enough to purchase the value of income they earn selling, and no system has enough to purchase all commodities. If someone joins the labor force, they produce the value of their output, and demand goes up by the same amount in supply. If someone leaves the labor force, production and demand fall by the same amount.

Since everyone who wants a job can find one, there is no involuntary unemployment in any level of output. Every level of output is a full employment equilibrium with supply matched to demand. And since the wage is equal to the marginal product of labor, there is no incentive for firms to lower wages, and workers are paid as productively balanced. Wave is matched to be paid more than their marginal product, more demand than supply would exist in the economy as a whole. The inverse is true for a worker paid less than their marginal product. All of the marginalist assumptions work together like a happy little family, and it's like all of the interlocking Facultas in Kant's Critique of Pure Reason, each implicitly stating the other.

The problem is, in the real world, people save. Workers, intermediate suppliers, owners of land and providers of capital goods all, generally, save some share of their income. This means that there is not enough demand to purchase the total value of goods, creates less demand than required to purchase supply. This denotes a switch in things.

"But wait" the marginalists cry, "everything that's saved by one person is in fact spent by another, on investment goods!" The marginalists then go on to outline a complicated series of pulleys, water wheels, and gold dispenser parts by the action of which every dollar of earnest period savings is reused by banks loaning interest rates as a wage or current period investment. They claim that, in fact, if no-less people save, then interest rates will rise and strangely incentivize, as such, individual thrift has no effect on total investment. Keynes's response to this is that it is a bad assumption to the investment that drives Capitalism. Any decision not to consume must be mechanically equivalent to a decision to provide funds which investors will use in the same period to invest in capital goods which will provide consumption in the future. Without this savings, there would be no investment, but also this savings is immediately spent by someone else in the economy, so it's not really savings actually, just spending for future consumption.

Keynes' rebuttal to this is so good and so clear that it is worth quoting: "Those who think in this way are deceived, nevertheless, by an optical illusion, which makes two essentially different activities appear to be the same. They are fallaciously supposing that there is a nexus which unites decisions to abstain from present consumption with decisions to provide for future consumption, whereas the motives which determine the latter are not linked in any simple way with the motives which determine the former."

The core lesson - and metaphorical principle - of the General Theory is that the decision to save and the decision to invest are mediated by a complex, interconnected credit system, and the decision to save has nothing to do with the decision to invest. How exactly that all happens we will explore later, when we're ready to talk chapters that explain that.

0 ♡ · 0 ☰ · 0 ↗

← Previous Next →

Write a comment...

Top New Community What is Center for Yale Account Research Newsletter? ⚙

Feed

"The Post-Keynesian Worldview in Five Postulates"
A talk I gave for the Bergarian Institute on zoom
Jan 1, 2000 · 0 ♡ · 0 ☰ · 0 ↗

gamma or microfoundations or microfractures
Apologies if this is a little underdeveloped, I was having fun offling
Dec 28 · 0 ♡ · 0 ☰ · 0 ↗

Minsky and Debunk
"Minsky/Everything Financial," we're having fun here!
Dec 28 · 0 ♡ · 0 ☰ · 0 ↗

Keynes' General Theory
The Preface, and Chapter 1
Dec 28 · 0 ♡ · 0 ☰ · 0 ↗

Inflation: Oren Cass and Jacques Derrida as Harold Bloom solog
Is Inflation an epistemic practice (easy to read)
Dec 28 · 0 ♡ · 0 ☰ · 0 ↗

The General Theory - Ch. 3
Effective Demand
Dec 28 · 0 ♡ · 0 ☰ · 0 ↗

The General Theory - Ch. 4
The Choice of Units
Dec 28 · 0 ♡ · 0 ☰ · 0 ↗

Say
Nature's gold
Dec 28 · 0 ♡ · 0 ☰ · 0 ↗

The General Theory, ch.5
Just really, what did you expect
Dec 28 · 0 ♡ · 0 ☰ · 0 ↗

The General Theory: Chapter 6
Are statements like, that has to wait in Hitlisz
Dec 28 · 0 ♡ · 0 ☰ · 0 ↗

See all ›

© 2025 Ben Williams, Ben Jacques · Terms · Collection notice · Cookie policy

Publish on Substack